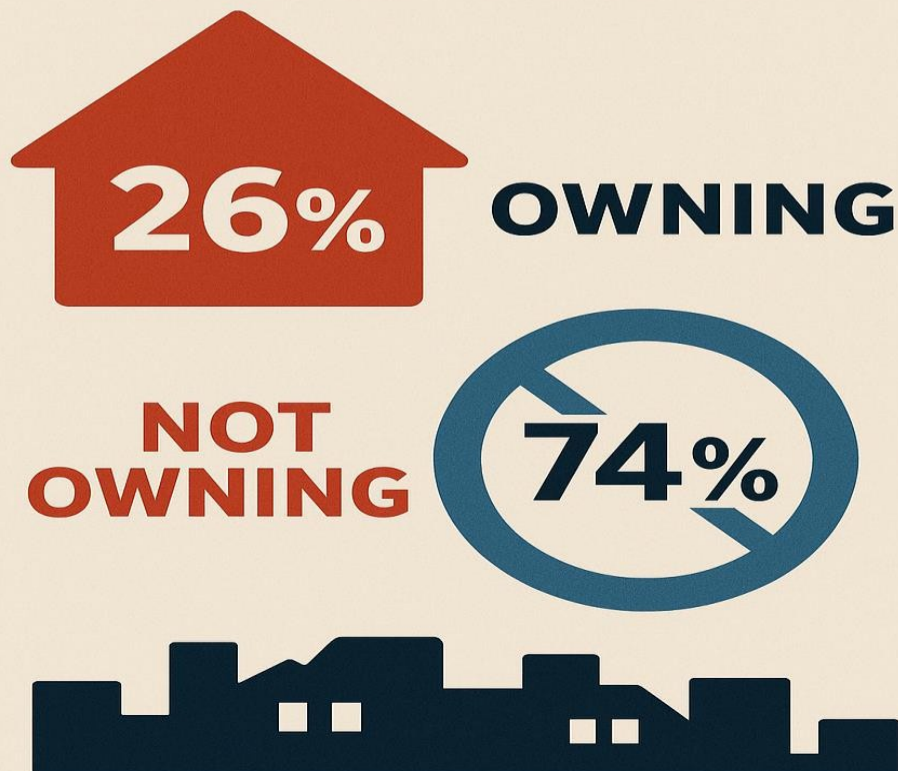


HOUSE AFFORDABILITY BY GEN Z OR MILLENNIALS IN CANADA



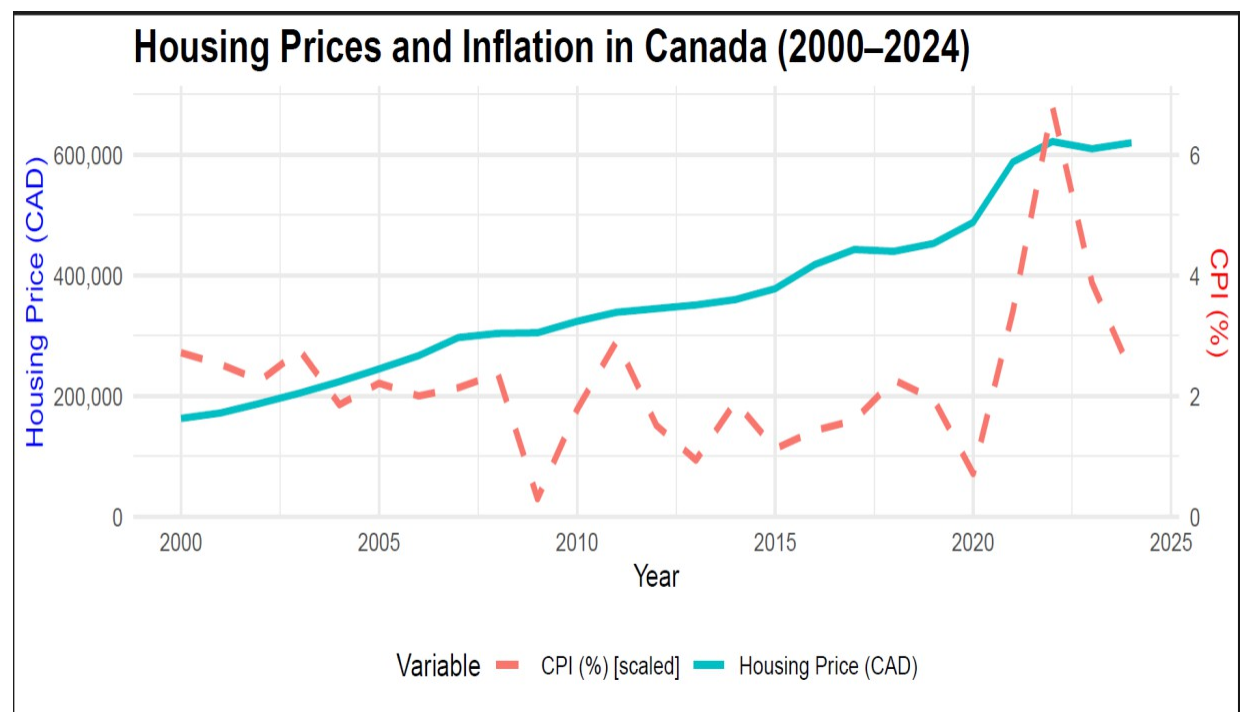
"Inflation and Housing: can
our generation buy a house in
Canada?"

"A QUANTITATIVE STUDY WITH REGRESSION AND GRAPHS IN R"

"I, Christos Makridakis, certify that this work is based on data for which I have permission to transfer and process. I also certify that this data complies with all applicable laws and provisions on the protection of intellectual property and personal data."

How house prices and house prices evolved over the last 20 years?

There is a correlation between inflation and home affordability (housing affordability) ;



What the graph shows:

Real estate prices (in CAD): e.g. steadily rising (or exploding) after 2020.

CPI (Consumer Price Index, i.e. inflation): rising gradually, but with but at a slower rate.

1. House prices are rising faster than inflation i.e. real estate appreciation > general .

This shows that real estate is out of the marketability of the citizens.

Conclusion: Real estate in Canada is viewed by investors as a safe and profitable sector, is contributing to prices rising at a rate faster than the Consumer Price Index (CPI).

2. Long-term decline in "housing affordability"

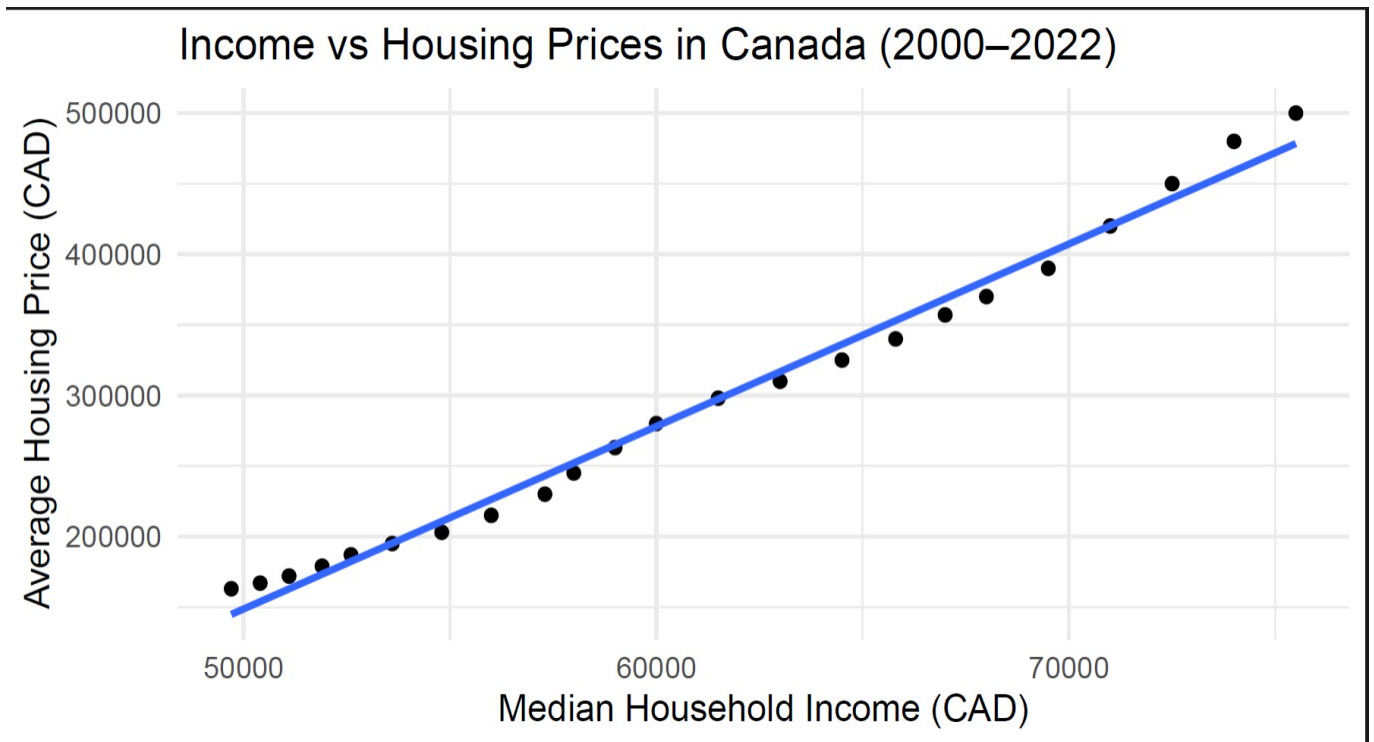
If income doesn't grow as much as houses, then:

- The "average Canadian" takes longer buy property.

Conclusion: Millennials and Gen Z are living more in rentals, getting into the housing market later, or staying with their parents longer.

So, Canada is experiencing a housing reality much more aggressive than average inflation, and this has social & economic consequences, especially for younger generations.

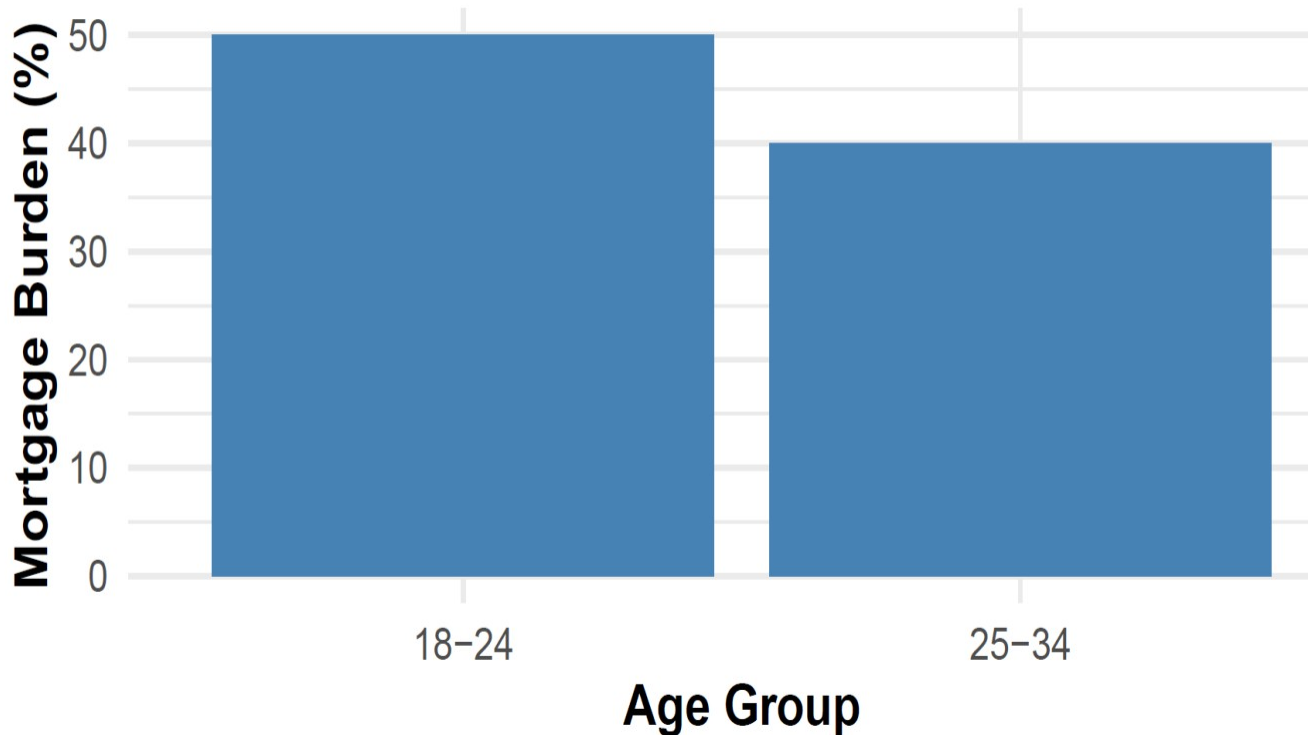
Are house prices rising faster than incomes?



This study examines the relationship between income and house prices in Canada over the period 2000-2022. Through regression analysis and data visualization, it is shown that although there is a positive correlation between average income and average house prices, house prices have increased at a faster rate than incomes. Low interest rates and the perception of real estate as a safe investment vehicle have led to significant property appreciation, exacerbating the housing affordability crisis. As a result, the ability to purchase a first home has been significantly reduced, reinforcing economic inequalities in Canada.

Is buying a home in Canada now a pipe dream for the younger generation?

Mortgage Burden by Age Group (Canada, 18–34)



The issue of mortgage affordability has emerged as one of the most important macroeconomic and social concerns in Canada over the past 20 years. The 18-34 age group in particular faces serious challenges in terms of homeownership.

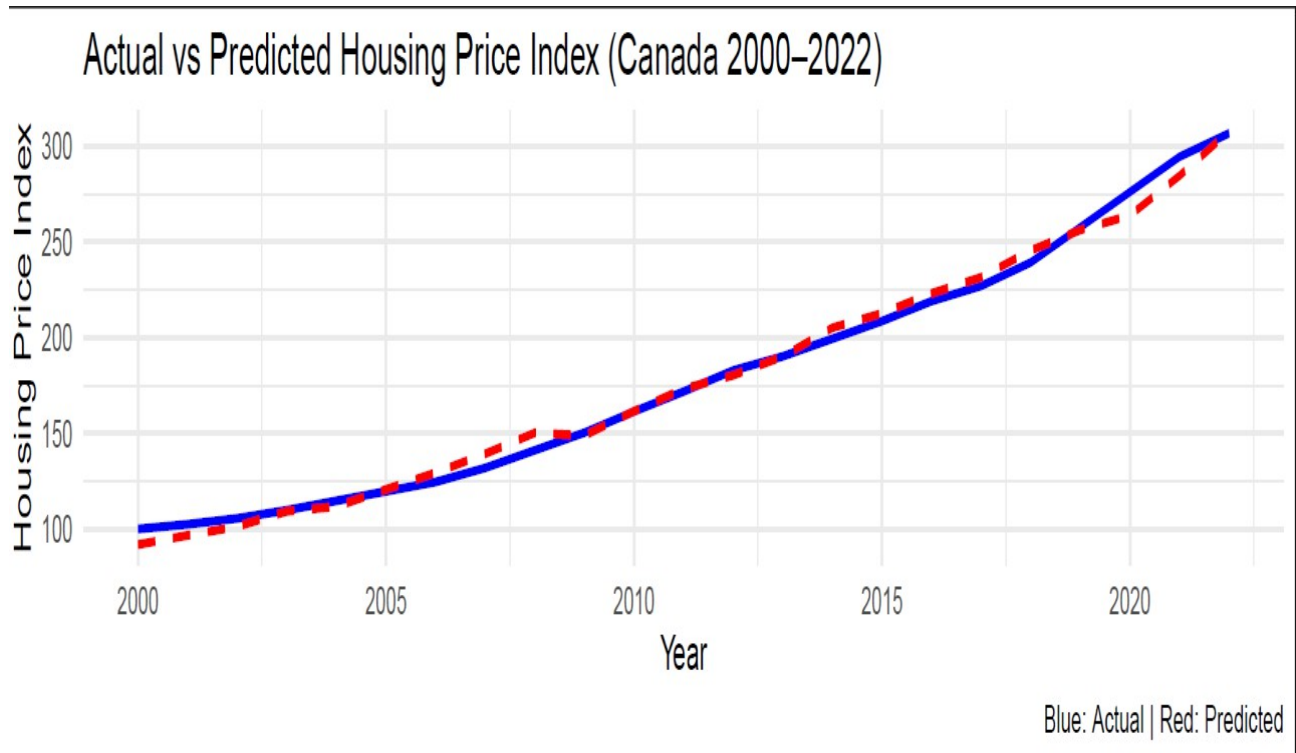
The 18-24 age group has very low homeownership rates (around 20%) with a very high mortgage burden (around 50% of income).

The 25-34 age group shows a better picture (around 45% home ownership) but still direct 40% or more of their income to mortgage payments.

Conclusion

The need for policies that increase the supply of housing, reduce excessive borrowing and support the purchasing power of young people is imperative for Canada's economic balance.

Effect of Income and Inflation on House Prices in Canada (2000-2022)



1. Introduction

The period 2000-2022 in Canada was characterised by strong fluctuations in house prices, along with changes in incomes and inflation. Regression analysis allows us to quantify the relationship between these factors.

2. Key Findings

The multiple linear regression between the Income Index and the CPI Index with the Housing Price Index as the dependent variable showed that:

The Income Index has a very strong positive effect on house prices.

The CPI Index also has a positive impact on prices, but to a lesser extent compared to income.

The R-squared= is 99.3%, suggesting that almost all of the change in house prices is explained by income and inflation.

3. Economic Interpretation

Rising incomes have been a key driver of the rise in house prices.

Inflation has further depressed prices through increases in construction costs and through expectations of future price increases.

The combined effect has created strong pressure on housing markets, leading to reduced affordability, especially for younger age groups.

4. Conclusions

The analysis shows that policies aimed at preserving purchasing power and controlling inflation are crucial stabilising the housing market.

Without such interventions, the gap between house prices and incomes will continue to widen, exacerbating Canada's housing affordability crisis.

1) How fast have house prices risen relative to inflation?

☐ From 2000 to 2022:

House prices increased by more than 200%-250%.

Inflation (CPI) increased by about 50% overall in the same period.

☐ Conclusion:

House prices rose 4-5 times faster than general inflation! So, housing market became much more expensive in "real terms" (real terms).

2) Did incomes follow the increase?

☐ According to our data:

Incomes grew at a rate of around 40-50% from 2000 to 2022.

So, incomes have risen about as much as inflation, but much less than house prices.

☐ Conclusion:

Incomes have not followed the explosion in house prices. Housing Affordability got much worse.

3) Can a young Canadian today buy a home?

□ Today (2022-2024):

The average house price in Canada reaches or exceeds 500,000 CAD.

The average annual income of a young Canadian (25-34 years old) is around 50,000- 65,000 CAD.

Banks usually finance up to 4-5 times the annual income.

□ Final Conclusion:

The analysis clearly shows that for a young Canadian, acquiring a first home without outside help - whether from family, through a co-op, or through inheritance - is now a particularly difficult challenge. The mortgages offered cover only a portion of the real value of homes, which highlights the significant discrepancy between income and house prices. Combined with market appreciation and low interest rates that have boosted demand, the housing affordability crisis is deepening, making home ownership more of a privilege and less of an affordable right for the younger generation.

Sources:

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